

India's Defence Procurement Reform to Boost Domestic Industry

Indulekha A, Nicla Bussoli, and Sakshi Asrani

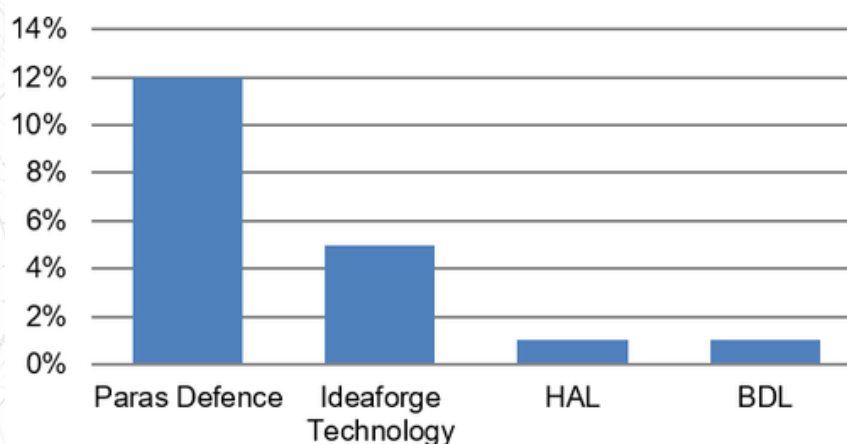
13 June 2026

India's Defence Minister [revised](#) the Delegation of Financial Powers to the Defence Services (DFPDS 2026), enhancing the spending authority of field commanders. The reform aims to strengthen operational efficiency and reduce delays in contracting and project delivery. Alongside the [Defence Procurement Manual 2025](#) and this year's defence budget of Rs 7.85 trillion (15% higher than the FY2025-6 Budget Estimate), DFPDS forms part of a broader attempt to speed up procurement and deepen domestic supply chains, suggesting opportunity for Indian defence manufacturers. The revised framework will facilitate procurements of over Rs 1.25 trillion through the revenue route, which covers operational and sustainment requirements rather than major platform acquisition. This includes a doubling of delegated financial powers for defence indigenisation and R&D.

Immediate Political and Market Reaction

- Defence Minister Rajnath Singh congratulated the Armed Forces on X, claiming that the reform would increase the participation of MSMEs and startups in the Indian defence sector.
- Following this announcement, the shares of defence companies rose by up to 12%, with Paras Defence and Space Technologies, Ideaforge Technology, Astra Microwave Products, Data Patterns (India), and Adani Enterprises all hitting 52-week highs on the BSE in intraday trade. Ideaforge Technology was locked at upper circuit for the second consecutive day, while HAL and BDL rose 1% each.
- These rises were likely driven by market expectations of higher demand for domestically produced equipment and components.
- [CICI Securities](#) argued that the doubling of financial powers for indigenisation and R&D should support domestic defence manufacturers by increasing repeat orders, emergency procurement, and faster induction of indigenous systems.
- Goldman Sachs expects India's private defence firms to deliver 32% annual EPS growth between FY25 and FY28, driven by rising exports and indigenisation. It also projected that the domestic defence market would [expand](#) to Rs 10 trillion over the next 20 years.

Intraday Share Price Movement June 05

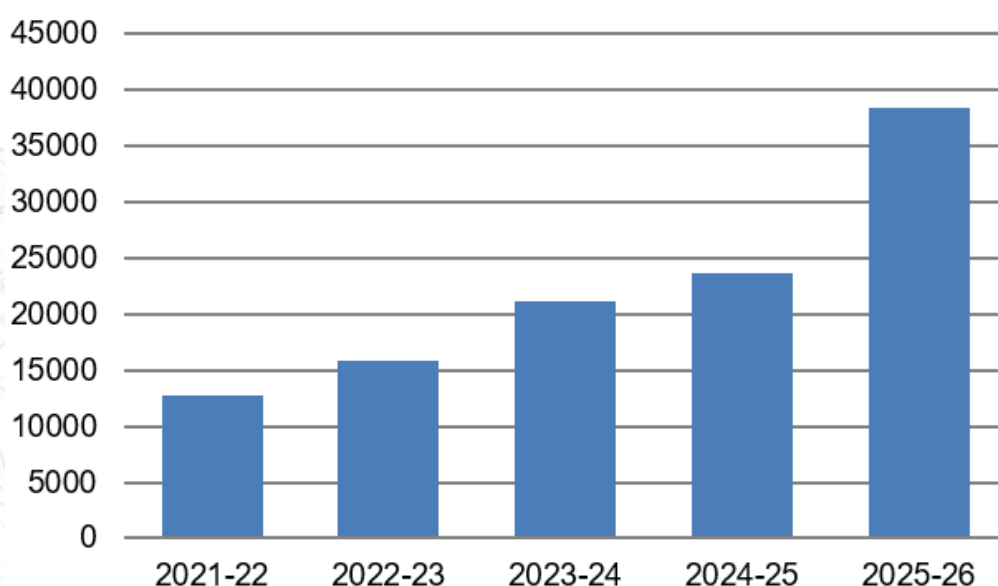


Source: Business Standard

Commercial Implications

- India's defence procurement has often suffered from a gap between budget allocation and contract execution. Long approval chains can delay urgent purchases, weaken demand visibility for suppliers, and force users to seek higher-level clearance even for operational requirements.
- DFPDS 2026 addresses this by increasing the speed of some project approvals through delegated spending authority. This should shorten approval-to-contract timelines for some operational procurements. MSMEs and startups stand to benefit because faster order placement and clearer demand signals reduce working-capital pressure.
- In addition, DFPDS 2026 reduces internal approval barriers for military investment and co-development with domestic firms. This could incentivise the armed forces to collaborate more with domestic industrial partners, enhancing their appeal to investors and lenders by signalling credible future demand. This is most significant for firms such as Data Patterns, Zen Technologies, and Astra Microwave that already have established co-development relationships with the military and therefore have the scale and network to benefit immediately from streamlined bureaucratic processes.
- Over time, faster domestic procurement could support export competitiveness by helping firms scale production and demonstrate demand from the Indian military. India's defence exports have risen from Rs 128 billion in FY21 to Rs 384 billion in FY26. Companies with existing export relationships, such as BEL, Bharat Forge, HAL, and Solar Industries, could become more competitive as domestic demand growth facilitates scaling.
- However, because the DFPDS affects only revenue route funding, its impact will not extend to military platforms, weapon systems, and other long-term contracts, all of which fall under the capital route and are governed by a separate Defence Acquisition Procedure. As such, MSME participation in these areas could remain limited.
- DFPDS 2026 is likely to improve demand visibility for Indian defence suppliers by increasing the spending authority available for revenue-funded procurement. The clearest near-term beneficiaries are likely to be domestic suppliers of electronics, drones, ammunition, communications equipment, and sustainment components. Its impact on major platforms will be more limited, as these remain governed by separate acquisition procedures.

Value of Defence Exports (Rs Crore)



Source: Press Information Bureau